Financial Analysis of
Ghandhara Automobiles Limited (GAL)
FY2021–FY2025

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Date of Submission:
18 September 2026

1. Introduction to Ghandhara Automobiles Limited

Ghandhara Automobiles Limited (GAL), formerly named Ghandhara Nissan Limited, was incorporated in Pakistan on August 8, 1981 as a private limited company and converted into a public limited company on May 24, 1992. The Company's shares are listed on the Pakistan Stock Exchange under the symbol "GAL." GAL is headquartered in Karachi, with manufacturing facilities at Port Qasim and regional offices in Lahore and Rawalpindi. It is a subsidiary of Bibojee Services (Private) Limited, the holding company of the diversified Bibojee Group, whose interests span automobiles, textiles, tyre and rubber, insurance, and construction.

GAL's core business is the progressive assembly and manufacturing of JAC trucks and pick-ups, together with the import and distribution of completely built-up Dongfeng and Renault vehicles and related spare parts in Pakistan; it also undertakes the assembly of other vehicle brands under contract arrangements. The Company additionally holds a 19% equity stake in Ghandhara Industries Limited, the authorised assembler of Isuzu trucks and buses in Pakistan. This stake is accounted for as an associate under the equity method. The Associate's share of profit or loss is a recurring, and at times material, line item in GAL's consolidated income statement.

This report presents a ratio and trend analysis of GAL's financial performance and position for the five fiscal years FY2021 to FY2025 (year ending June 30), based on the Company's audited Consolidated Financial Statements as published in its Annual Reports, together with share-price and dividend data sourced from the Pakistan Stock Exchange. All Rupee figures are in Rupees '000 unless stated otherwise. The detailed ratio computations (with formulas and values plugged in for every year) and the vertical/horizontal trend workbooks are attached as appendices, along with the hand-written manual calculation sheet required under the project guidelines.

2. Interpretation of Financial Ratio Results

This section interprets the ratios computed in the appended Ratio Analysis workbook, grouped into the categories specified in the project guidelines: Liquidity, Activity (Efficiency), Leverage (Solvency), Profitability, DuPont, Investor (Market Value), and Free Cash Flow.

2.1 Liquidity Ratios

Ratio	FY2021	FY2022	FY2023	FY2024	FY2025
Current Ratio (x)	3.31	1.35	1.76	1.58	1.35
Quick Ratio (x)	2.09	0.67	0.99	0.78	0.74
Cash Ratio (x)	0.94	0.33	0.40	0.26	0.34

The current ratio declined sharply from a strong 3.31x in FY2021 to 1.35x in FY2022, recovered modestly to 1.76x in FY2023, and then settled in the 1.35x–1.58x range through FY2025; still above the conventional 1:1 benchmark, but well short of the comfortable cushion seen in FY2021. The quick ratio follows the same pattern, remaining below 1.0x in every year from FY2022 onward: it came closest to parity in FY2023 (0.99x) before easing back to 0.78x and 0.74x in FY2024–25. This indicates that a growing share of current assets is tied up in inventory rather than cash or receivables, consistent with GAL's import- and CKD-dependent operating model. The cash ratio remains modest throughout (0.26x–0.94x) but improved again in FY2025 on the back of a much larger cash and short-term-investment balance.

2.2 Activity (Efficiency) Ratios

Ratio	FY2021	FY2022	FY2023	FY2024	FY2025
Inventory Conversion Period (days)	133.0	282.2	78.4	162.5	141.3
Average Collection Period (days)	74.2	39.9	32.4	56.1	17.3
Payables Deferral Period (days)	71.2	360.7	54.9	96.0	70.1
Cash Conversion Cycle (days)	136.0	(38.5)	55.9	122.6	88.4
Receivables Turnover (x)	5.62	8.00	14.10	7.22	22.41
Payables Turnover (x)	5.35	2.75	2.66	4.72	9.32
Total Asset Turnover (x)	0.50	0.51	0.92	0.64	1.36

The inventory conversion period fluctuated widely, peaking at 282 days in FY2022 amid heavy stock build-up, falling to 78 days in FY2023, and settling around 141–162 days in FY2024–25; still a lengthy holding period typical of an import-dependent assembler. The average collection period improved markedly, from 74 days in FY2021 to just 17 days in FY2025, pointing to tighter receivables management. The payables deferral period was highly erratic (peaking at 361 days in FY2022) due to large swings in trade payables tied to bulk purchase cycles, and the resulting cash conversion cycle swung from 136 days (FY2021) to a negative 38.5 days (FY2022, when suppliers effectively financed inventory) and back to 88 days by FY2025. Total asset turnover nearly tripled, from 0.50x to 1.36x, showing that revenue growth comfortably outpaced growth in the asset base: assets are being deployed more productively over time.

2.3 Leverage (Solvency) Ratios

Ratio	FY2021	FY2022	FY2023	FY2024	FY2025
Debt-to-Equity Ratio (x)	0.07	0.23	0.28	0.21	0.05
Debt Ratio (%)	5.4%	11.1%	17.8%	13.4%	2.3%
Equity Ratio (%)	82.5%	48.9%	62.8%	65.0%	43.8%
Interest Coverage Ratio (x)	7.14	1.33	2.21	2.01	31.54
Financial Leverage Ratio (x)	1.21	2.04	1.59	1.54	2.28

GAL's traditional, debt-based leverage remained conservative throughout: interest-bearing debt never exceeded 28.4% of equity (its FY2023 peak) and fell to just 5.2% of equity by FY2025, while the debt ratio stayed below 18% of total assets in every year, ending at only 2.3%. Interest coverage dipped to an uncomfortable 1.33x in FY2022 and stayed thin (2.0x–2.2x) in FY2023–24, when finance cost rose faster than operating profit, before rebounding to a healthy 31.5x in FY2025 as profit surged and borrowings were paid down. The equity ratio fell from 82.5% (FY2021) to 43.8% (FY2025). This was not because equity shrank (it nearly doubled), but because total liabilities grew even faster, driven overwhelmingly by non-interest-bearing customer advances rather than debt (see Section 3). In short, balance-sheet leverage in the broad sense increased, while debt-specific leverage actually improved.

2.4 Profitability Ratios

Ratio	FY2021	FY2022	FY2023	FY2024	FY2025
Gross Profit Margin (%)	13.0%	8.8%	8.6%	12.0%	18.4%
Operating (EBIT) Margin (%)	5.5%	4.1%	6.0%	9.4%	16.1%
Net Profit Margin (%)	2.9%	4.4%	1.3%	3.9%	11.9%
Return on Assets – ROA (%)	1.4%	2.3%	1.2%	2.5%	16.2%
Return on Equity – ROE (%)	1.7%	3.7%	2.2%	3.9%	31.9%
Return on Capital Employed – ROCE (%)	3.1%	3.0%	8.5%	8.4%	39.4%

Profitability improved across every measure, with a temporary dip in FY2023. Gross margin held in a narrow 8.6%–13.0% band in FY2021–23 before nearly doubling to 18.4% by FY2025, and operating

margin nearly tripled, from 5.5% to 16.1%, reflecting an improving sales mix and better cost absorption at higher volumes. Net margin fell to just 1.3% in FY2023 despite a healthy 6.0% operating margin. This gap was driven mainly by a sharp rise in finance cost (up approximately 82% year-on-year) and a swing to a loss in the Company's share of its Associate's results; FY2023's unusually high 55.5% effective tax rate then compressed the margin further. None of this reflects operating weakness, since the underlying operating margin actually improved that year. ROA and ROE both reached their five-year highs in FY2025 (16.2% and 31.9% respectively), while ROCE climbed steadily from around 3% to 39.4%, evidencing a marked improvement in returns generated on the Company's capital base.

2.5 DuPont Analysis

Component	FY2021	FY2022	FY2023	FY2024	FY2025
Net Profit Margin (NI / Sales)	2.9%	4.4%	1.3%	3.9%	11.9%
Total Asset Turnover (Sales / Avg TA)	0.50x	0.51x	0.92x	0.64x	1.36x
Equity Multiplier (Avg TA / Avg TE)	1.21x	1.64x	1.82x	1.56x	1.97x
= ROA (Margin × Turnover)	1.4%	2.3%	1.2%	2.5%	16.2%
= ROE (ROA × Equity Multiplier)	1.7%	3.7%	2.2%	3.9%	31.9%

The three-step DuPont decomposition shows that the ROE improvement from 1.75% (FY2021) to 31.91% (FY2025) was driven by all three components moving favourably: net margin nearly quadrupled (2.9% to 11.9%), asset turnover nearly tripled (0.50x to 1.36x), and the equity multiplier rose more moderately, from 1.21x to 1.97x (with an intervening peak of 1.82x in FY2023). Margin and asset-efficiency gains, not added financial leverage, account for most of the improvement; the rise in ROE therefore reflects genuinely stronger operating performance rather than increased financial risk.

2.6 Investor and Market Value Ratios

Ratio	FY2021	FY2022	FY2023	FY2024	FY2025
Earnings per Share – Basic & Diluted (Rs)	2.22	4.92	3.04	6.40	71.85
Dividend per Share (Rs)	0.00	0.00	0.00	0.00	10.00
Dividend Payout Ratio (%)	0.0%	0.0%	0.0%	0.0%	13.9%
Retention Ratio (%)	100.0%	100.0%	100.0%	100.0%	86.1%
Sustainable Growth Rate, g (%)	1.7%	3.7%	2.2%	3.9%	27.5%
Book Value per Share, incl. NCI (Rs)	131.09	135.78	138.96	189.29	260.99
Share Price at Year-End (Rs)	109.23	61.60	37.80	298.78	379.19
Price / Earnings Ratio (x)	49.20	12.52	12.43	46.68	5.28
Market / Book Value Ratio (x)	0.83	0.45	0.27	1.58	1.45

EPS grew more than 32-fold over the period, from Rs 2.22 to Rs 71.85, with growth heavily concentrated in FY2025. GAL paid no dividend from FY2021 through FY2024, retaining all earnings, before declaring its first dividend in this five-year window for FY2025 (Rs 10.00 per share, a 13.9% payout and 86.1% retention). The implied sustainable growth rate rose in step with ROE, from 1.7% to 27.5%. Market pricing, however, lagged fundamentals for much of the period: the share traded at a discount to book value (Market/Book of 0.27x–0.83x) in FY2021–FY2023, moving to a premium (1.45x–1.58x) only in FY2024–FY2025. The P/E ratio compressed sharply to 5.28x in FY2025. EPS grew more than eleven-fold that year (Rs 6.40 to Rs 71.85) against a much smaller ~27% rise in the share price (Rs 298.78 to Rs 379.19), suggesting the market had not fully re-rated the stock to reflect the scale of the FY2025 earnings surge, or was discounting part of it as non-recurring.

2.7 Free Cash Flow

Component	FY2021	FY2022	FY2023	FY2024	FY2025
Effective Tax Rate (%)	3.1%	14.5%	55.5%	13.0%	31.3%
EBIT × (1 – T) (Rs '000)	234,500	221,747	348,468	772,890	3,817,930
Capital Expenditure (Rs '000)	177,946	1,555,204	258,371	177,958	770,484
Change in NOWC (Rs '000)	(636,879)	(1,682,961)	2,374,062	419,438	(7,303,512)
Free Cash Flow (Rs '000)	835,628	550,676	(1,933,888)	506,731	10,690,224

Free cash flow (FCF) was positive in four of the five years but swung sharply, turning negative (Rs –1.93 billion) in FY2023. A Rs 2.37 billion increase in net operating working capital absorbed cash that year, driven largely by a sharp unwind of trade payables (the Payables Deferral Period collapsed from 360.7 days in FY2022 to 54.9 days in FY2023) rather than by inventory, which actually fell; this occurred despite reasonable underlying profitability, and that year's elevated 55.5% effective tax rate further compressed after-tax cash generation. FCF returned to a modest positive in FY2024 and surged to Rs 10.69 billion in FY2025, helped by a large working-capital release (principally the customer-advances inflow discussed in Section 3) on top of a much stronger EBIT base. Capital expenditure stayed modest and fairly stable in most years (Rs 178–258 million), aside from a one-off spike to Rs 1.56 billion in FY2022, indicating that GAL's recent cash generation has been driven more by operating and working-capital dynamics than by heavy investment in fixed assets.

3. Trend Analysis (FY2021–FY2025)

The appended Trend Analysis workbook presents common-size (vertical) analysis of the Balance Sheet, Income Statement and Cash Flow Statement for each year, and horizontal (trend) analysis of every line item against a FY2021 base year. The headline results are summarised below.

Line Item (Rs '000)	FY2021	FY2025	% Change vs FY2021	Approx. 4-Yr CAGR
Revenue	4,413,360	34,511,909	+682.0%	~67%
Gross Profit	574,327	6,360,165	+1,007.5%	~82%
Profit from Operations (EBIT)	242,087	5,559,603	+2,196.5%	~119%
Profit for the Year (Net Profit)	126,778	4,095,709	+3,130.6%	~138%
Total Assets	9,059,566	33,983,219	+275.1%	~39%
Equity Attributable to Shareholders	7,472,173	14,876,668	+99.1%	~19%

3.1 Balance Sheet

Total assets grew 275.1% cumulatively over the five years, with growth heavily concentrated in FY2025 (total assets roughly doubled again between FY2024 and FY2025 alone). On a common-size basis, current assets rose from 42.0% of total assets in FY2021 to 70.6% in FY2025, while non-current assets fell proportionally from 58.0% to 29.4%: a mix effect, since property, plant and equipment itself still grew 87.3% in absolute terms. The shift reflects an even larger increase in inventory (stock-in-trade up roughly 740%, i.e. to about 8.4x its FY2021 level), cash, and short-term investments (which appeared at Rs 4.67 billion in FY2025).

On the equity and liabilities side, total liabilities rose 1,103.7% cumulatively, taking their share of the balance sheet from 17.5% to 56.2%. This was driven almost entirely by customer advances / contract liabilities, a non-interest-bearing item that first appeared at Rs 713 million (4.3% of assets) in FY2024 and ballooned to Rs 12.13 billion (35.7% of assets) in FY2025, evidently reflecting large customer prepayments or bulk orders rather than borrowed capital. Interest-bearing debt, by contrast, peaked at Rs 2.25 billion in FY2023 and had fallen back to just Rs 770 million by FY2025, reinforcing the deleveraging trend already noted in the leverage ratios. Equity nearly doubled (+99.1%) over the period but grew more slowly than total assets, so equity's share of the balance sheet fell from 82.5% to 43.8% even as its absolute value increased every year.

3.2 Income Statement

Revenue grew 682.0% cumulatively by FY2025, but the path was not linear: revenue had already risen 196.9% by FY2023, then fell back to a FY2024 level only 113.3% above the FY2021 base (i.e., an actual year-on-year decline from Rs 13.10 billion in FY2023 to Rs 9.41 billion in FY2024), before the exceptional FY2025 surge to Rs 34.51 billion. Cost of sales eased from 87.0% to 81.6% of revenue over the period, lifting gross margin from 13.0% to 18.4%, while distribution and administrative expenses fell overall as a percentage of revenue (from a combined 9.0% in FY2021 to 2.8% in FY2025, with a temporary uptick to 5.3% in FY2024), indicating operating leverage as the revenue base scaled up.

Profit from operations rose 2,196.5% cumulatively and profit for the year rose 3,130.6%, both far outpacing revenue growth; this confirms that margin expansion, not volume alone, drove the bottom line. Finance cost moved erratically, rising by roughly 1,200% (to about 13x its FY2021 level) by FY2024 before falling back sharply in FY2025 as borrowings were repaid. The Company's share of profit from its associate, Ghandhara Industries Limited, swung from a loss of Rs 77.3 million in FY2021 to a gain of Rs 616.6 million in FY2025, a meaningful contributor to the FY2025 profit surge.

3.3 Cash Flow Statement

Net cash from operating activities was volatile, turning negative in FY2023 (–Rs 1.95 billion) and marginally negative in FY2024 (–Rs 44.0 million) despite positive accounting profit in both years. This was the result of large working-capital swings, particularly heavy inventory purchases in FY2022 and a subsequent payables unwind in FY2023. Operating cash flow then rebounded strongly to +Rs 10.98 billion in FY2025, substantially aided by the customer-advances inflow described above.

Investing activities were dominated by a one-off capital-expenditure spike in FY2022 (–Rs 1.55 billion) and, in FY2025, by a very large volume of short-term investment placements and disposals (Rs 16.3 billion placed against Rs 11.9 billion realised, a net investing outflow of Rs 4.58 billion): this is evidence of active treasury management of the FY2025 cash windfall rather than fixed-asset expansion.

Financing activities show new long-term debt drawn in FY2022–FY2023 and steadily repaid thereafter, short-term borrowings reduced to zero by FY2025, and the resumption of a (small) dividend outflow; all of this is consistent with the deleveraging pattern seen in the leverage ratios. Overall, GAL's cash and bank balances rose from Rs 1.19 billion (FY2024) to Rs 5.99 billion (FY2025), a build driven mainly by the customer-advances inflow rather than by organic operating margin alone.

4. Conclusion

Over FY2021–FY2025, Ghandhara Automobiles Limited grew from a modestly profitable, conservatively financed assembler into a considerably larger and more profitable enterprise: revenue, total assets and net profit each expanded several-fold, and every profitability ratio examined (net margin, ROA, ROE and ROCE) reached its five-year high in FY2025. Traditional debt-based leverage remained low and was actively reduced even as the balance sheet expanded severalfold, and the DuPont decomposition confirms that the ROE improvement was driven mainly by genuine margin and asset-efficiency gains rather than by increased financial risk.

At the same time, three points warrant a measure of caution when reading these results. First, liquidity weakened structurally from FY2021's very comfortable position to more modest levels, with the quick and cash ratios remaining below 1.0x in most years. Second, operating cash flow was negative in two of the five years (FY2023 and FY2024) despite positive accounting profit, reflecting the working capital strain typical of an inventory and import intensive business. Third, the FY2025 results are unusually concentrated: they rest substantially on a very large customer-advances inflow (35.7% of total assets) and an outsized contribution from the Company's associate, neither of which may recur at the same scale in future years.

On balance, GAL's five-year trajectory reflects a financially sound and steadily improving company. However, FY2025 should be read as an exceptional, and partly working-capital-driven, high point rather than a new steady-state run-rate. Whether the margin and asset-turnover gains achieved in FY2025 prove durable will only be confirmed by subsequent years' results, once the underlying order or advance normalises; this should be monitored accordingly.

Appendices

The following supporting documents are attached to this report:

- Appendix A – Hand-written manual calculation sheet (A4), as required under the project guidelines.
- Appendix B – Ratio Analysis workbook: Investor, Profitability, Liquidity, Activity, Leverage, Market Value, Free Cash Flow and DuPont ratio sheets, with formulas and figures for FY2021–FY2025.
- Appendix C – Trend Analysis workbook: vertical (common-size) and horizontal (trend) analysis of the Balance Sheet, Income Statement and Cash Flow Statement, FY2021–FY2025.

Data sources: Ghandhara Automobiles Limited's audited Consolidated Financial Statements, Annual Reports FY2021–FY2025; Pakistan Stock Exchange (PSX) company announcements and closing share-price data.